Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY
AND
KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID

Rebuttal Testimony

of

Ned W. Allis

Date: September 22, 2023

Testimony of Ned W. Allis

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I. INTRODUCTION AND PURPOSE

Q. Please state your name and address.

A. My name is Ned W. Allis. My business address is 207 Senate Avenue, Camp Hill, Pennsylvania 17011.

Q. Are you the same Ned Allis who previously submitted testimony in this proceeding?

A. Yes. Capitalized terms defined in my direct testimony have the same meanings here.

Q. On whose behalf are you testifying in this proceeding?

A. I am testifying on behalf of The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies"). The terms defined in my direct testimony have the same meanings in this rebuttal testimony.

Q. What is the purpose of your rebuttal testimony?

A. The purpose of my rebuttal testimony is to respond to the testimonies of New York Public Service Commission Staff ("Staff") Witness Paul Darmetko and City of New York ("NYC") Witness David Garrett.

Q. Please summarize the depreciation proposals in this case.

A. As discussed in my direct testimony, the Companies' current depreciation rates are too low even for business-as-usual conditions. The Companies, however, do not operate in

business-as-usual conditions as decarbonization efforts, particularly as set forth in New York's Climate Leadership and Community Protection Act ("CLCPA"), warrant a need to recover the capital costs of gas assets through depreciation at a more rapid rate than in the past due to future declining demand and related retirements of assets.

The proposals in this case from Staff and NYC show a broad agreement that the Companies' current depreciation rates are too low – because the Companies, Staff, and NYC have all proposed increases in depreciation expense for both KEDNY and KEDLI. Thus, each party agrees depreciation should be higher and, further, given the discussions of gradualism in each parties' testimony, Staff Witness Darmetko and NYC Witness Garrett appear to at least implicitly agree that depreciation should eventually be even higher than their proposals.[1]

Q. What are the primary differences between the Companies' proposed depreciation rates and those of Staff and NYC?

A. Based on Staff's and NYC's testimony, there are four primary areas of disagreement. The first is the use of the life span method for the Companies' Liquefied Natural Gas ("LNG") storage facilities. While the life span method is the most accurate and proper approach to estimating service lives for large groups of property such as power plants and gas storage

[1] More generally, the use of gradualism as a means to mitigate the rate impact on customers (of increases that would otherwise be larger) implies that depreciation should be higher, as the needed increase is gradually phased in rather than occurs all at once.

facilities, Staff and NYC have proposed to not use this method and effectively assume that the Companies' gas storage facilities will remain in service indefinitely. Importantly, both Staff and Mr. Garrett have previously used the life span method for LNG assets in New York (and Mr. Garrett has done so elsewhere). Indeed, as recently as last year both Staff and Mr. Garrett recommended depreciation rates using the life span method for Consolidate Edison Company of New York's ("Con Edison") Astoria LNG facility (and, in fact, used a shorter life span than the Companies' proposals for their facilities).[2]

The second is the service life estimates for transmission and distribution accounts. Staff and NYC Witness Garrett's service life proposals are too long for the Companies' assets, which is primarily due to both parties focusing too much on statistical results and failing to adequately consider other factors, such as replacement plans and changes to the Companies' gas systems, that will impact the service lives of the Companies' assets in the future. NYC's proposals are the most egregious, as, for example, Mr. Garrett proposes to increase the average service lives of mains to more than 80 years, resulting in very long lives compared to others in the industry, even absent considerations of the CLCPA. Indeed, Mr. Garrett's recommended service lives of 85 years for some of these accounts would be the longest of any utility in New York.

[2] As can seen on page 4 of Exhibit___(DJG-4) in Case 22-G-0065, Mr. Garrett proposed no change to Con Edison's proposal for Other Storage Accounts, which are based on an estimated retirement date of 2034.

Further, as customers electrify and change their energy usage we should reasonably expect that the CLCPA will result in shorter service lives for at least some assets that are rendered obsolete and no longer used, and, generally, will require a more rapid recovery of capital. While, in the instant case the Companies have not proposed any explicit adjustments to depreciation to account for the impacts of the CLCPA, it makes little sense to increase the Companies service lives further – as NYC Witness Garrett proposes to do and as, to a lesser degree, Staff does for certain accounts as well. Doing so will harm future customers, who will have to bear the costs of even greater increases in depreciation but would also bear the costs of a higher rate base.

Third, Staff Witness Darmetko and NYC Witness Garrett propose net salvage estimates that, in the aggregate, are less negative than those I have proposed for the Companies. The primary differences between their proposals and mine appears to be the use of gradualism and, more specifically, Staff and NYC recommend more gradual changes to net salvage. As discussed in my direct testimony, however, my recommendations are already gradual when compared to the Companies' historical net salvage data and, because the Companies have proposed to phase in the depreciation rates over four years, the Companies' proposals are even more gradual. There is no disagreement that the Companies' current net salvage estimates are too low, the disagreement is, therefore, the degree of gradualism appropriate to move them in the right direction.

Finally, while Staff and I both make the same recommendation to allow the recovery of the remaining costs of assets that will be replaced for the leak-prone pipe ("LPP") program (*i.e.*, costs of older cast iron mains, etc.), NYC proposes to not do so and instead recover these costs over a longer period of time – for many years after the conclusion of the LPP program. In essence, Mr. Garrett's proposal would have customers continue to pay the capital costs of retired pipe long after the program has ended. Not only would this be inequitable, as it would cause future customers to pay the costs of assets after the conclusion of their service lives, but NYC and Mr. Garrett both agreed to a similar recovery of LPP costs for Con Edison in its recently concluded rate case (Case 22-G-0065).[3] There is no credible reason to treat the Companies differently.

Q. Can you put the depreciation proposals in this case in context of costs that will have to be recovered through depreciation over the next three decades?

A. Yes. As I have discussed in my direct testimony, the Companies' depreciation expense needs to be significantly higher due to the CLCPA as well as the (agreed upon) fact that the current depreciation rates are too low. The figures below compare depreciation based on current depreciation rates with the proposals in this case and with the Units of Production method discussed in my direct testimony. The Units of Production scenario shown is consistent with analyses I have performed for the Companies in the Gas Planning Proceeding (Case 20-G-0131) and based on current expectations for future gas

[3] See pages 4 and 5 of Exhibit___(DJG-4) in Case 22-G-0065.

throughput. Stated differently, this scenario represents the depreciation expense resulting from the most equitable allocation of costs based on the Companies' Clean Energy Vision, in that depreciation is aligned with the expected decline in gas consumption.

Figure 1: Comparison of KEDNY's Depreciation Proposals with Depreciation Expense Based on Current and Units of Production Depreciation Rates

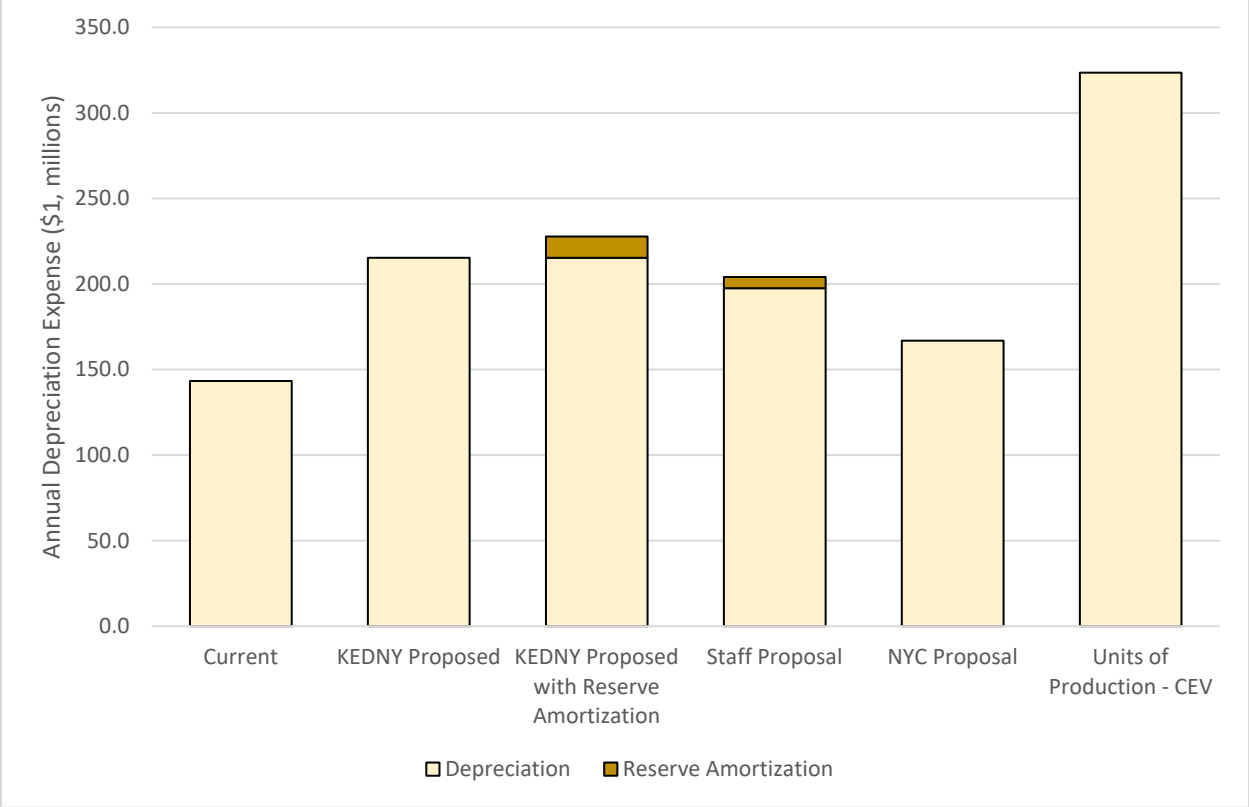
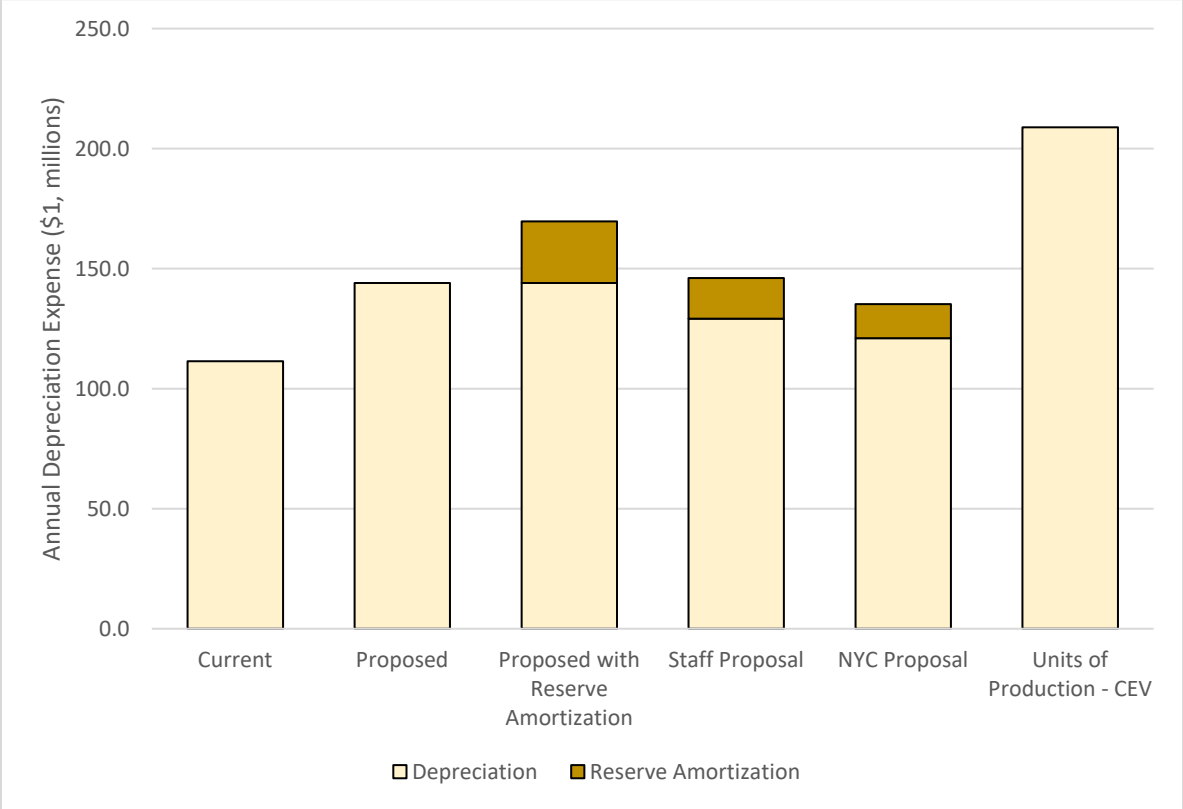


Figure 2: Comparison of KEDLI's Depreciation Proposals with Depreciation Expense Based on Current and Units of Production Depreciation Rates



There are two important conclusions one can draw from these charts. First, there is broad agreement that the current depreciation rates are too low, as each party has proposed an increase in depreciation. Second, each proposal (and the current depreciation rates) result in significantly less depreciation than results from the Units of Production calculations. Again, this means that depreciation will need to be higher in the future to equitably recover costs. The Companies' proposal moves in the right direction and results in a material movement towards the higher depreciation expense that will be needed to not unfairly harm future customers.

II. LIFE SPAN METHOD

Q. What is the life span method?

A. The life span method is a method of determining average service lives and remaining lives for large facilities, such as gas storage plants or electric generating plants, for which all assets are expected to be retired concurrently at the date of the retirement of the entire facility. In this method, the survivor characteristics of such facilities are described using interim survivor curves and estimated probable retirement dates. The interim survivor curves describe the rate of retirement related to the replacement of elements of the facility, such as the retirements of piping, pumps, and other assets that occur during the life of a facility such as a power plant. The probable retirement date provides the rate of final retirement for each year of installation for the facility by truncating the interim survivor curve for each installation year at its attained age at the date of probable retirement. The use of interim survivor curves truncated at the date of probable retirement provides a consistent method for estimating the lives of the multiple years of installation for a particular facility inasmuch as a single concurrent retirement for all years of installation will occur when it is retired.

Q. Why is the life span method the preferred method for these types of facilities?

A. The life span method accounts for the fact that upon the final retirement of a facility, all assets will be retired -- whether brand new or dating to the original installation of the facility. Using a mass property approach (*i.e.*, not using an estimated retirement date) will

overstate the average service life of a facility because it incorrectly assumes that newer assets will have the same survivor characteristics of older assets.

Q. For which facilities have you used the life span method?

A. I have used the life span method for both the Greenpoint and Holtsville LNG plants.

Q. Have either Staff or Mr. Garrett used the life span method for these facilities?

A. No.

Q. Have Staff Witness Darmetko or NYC Witness Garrett recommended depreciation rates based on the life span method for any LNG plants in other proceedings?

A. Yes. In Con Edison's most recent case (Case 22-G-0065), both Staff and Mr. Garrett recommended depreciation rates for Con Edison's Astoria LNG plant that were based on the life span method and a probable retirement date of 2034. Not only have both parties previously used the life span method for a similar facility, both parties have used a shorter life span for the Astoria LNG facility than for either of the Companies' LNG plants.

Con Edison had used the life span method previously as well and the Commission has adopted depreciation rates based on the life span method. Indeed, Mr. Darmetko testified

as part of Staff's Depreciation Panel in Case 19-G-0066 and recommended depreciation rates for Con Edison's Astoria LNG Plant based on the life span method.[4]

Q. Are you familiar with any cases outside of New York in which Mr. Garrett used the life span method for gas storage facilities?

A. Yes. For example, Mr. Garrett and I have both participated in a recent case in Maryland for Baltimore Gas & Electric Company ("BGE"). Mr. Garrett's proposed depreciation rates for the Spring Gardens LNG plant were based on the life span method. Further, the life span of 72 years he used was similar to the 73-year and 70-year life spans I have proposed for Holtsville and Greenpoint, respectively.

Mr. Garrett also recommended depreciation rates based on the life span method for gas storage facilities in a recent case for Puget Sound Energy in Washington. The life spans used were 40 and 48 years, again shorter than either of the Companies' LNG facilities.

Q. Do Staff Witness Darmetko or NYC Witness Garrett provide any valid reasons to treat the Companies' facilities differently and not use the life span method?

A. No. Staff acknowledges that the Commission has approved depreciation rates based on the life span method but also appears to argue that in other instances in which the

[4] Staff raises the investments the Companies have and are making in their LNG facilities as a reason not to use the life span method. However, Con Edison had made investments in the Astoria facility over the past decade, yet Staff (and Mr. Garrett) used the life span method for that facility.

Commission had accepted the life span method there were more certain plans for retirement. This is not accurate. For Con Edison, for example, estimated retirement dates currently approved by the Commission range to 2045 – beyond the 2042 date used for Greenpoint and Holtsville. I am not familiar with any reasons why these dates would be more certain than those for the Companies' facilities.

Staff Witness Darmetko also argues (at 15) that: "[i]n the instant proceedings, the Companies have proposed significant capital project spends at these facilities which calls into question the probable retirement date of December 2041 proposed for both facilities by the Companies." Staff ignores the fact, however, that these investments are already considered in the estimated life span, which expects the plants to operate for another two decades. Further, these investments mean that the life span method is more appropriate to use, not less so. As discussed above, the life span method correctly anticipates that newer investments will, on average, be retired at earlier ages than original investments in the facility (since the original investment may last the entire 70-year life span but something added more recently would be in service for less than 30 years. Staff's (and NYC's) proposal fails to account for this reality and, as a result, produces excessively long average service lives, remaining lives, and inadequate depreciation for these facilities.

Q. Do the recommended life spans recognize the capital investments referenced by Staff?

A. Yes. From my site visits and meetings with subject matter experts from the Companies, I was aware of these investments. They were factored into the recommended retirement dates, as were other considerations such as typical life spans for these types of facilities (many of which have also had significant investments) and the long-term outlook for gas demand and the potential impact on the economics of operating these facilities.

III. SERVICE LIFE ESTIMATES

Q. Please provide a comparison of each proposal for gas assets.

A. The table below provides a comparison of the various proposals of each party for KEDLI's gas assets. Included in the table are the current average service life estimates as well as the proposed scenario. The table also shows Staff and NYC's recommendations. Many of Staff Witness Darmetko's and NYC Witness Garrett's estimates are not only increases when compared to the current estimates, but several extend beyond the typical industry range. These proposals move in the opposite direction of what should occur given the context of the CLCPA.

Table 1 – KEDLI's Service Life Estimates by Parties

Account	Current	Proposed	Staff	NYC	Typical Industry Range
Gas Plant					
366.00, Structures and Improvements	40	40	45	n/a	40-65
367.09, Mains - Steel	80	75	80	85	55-80
368.00, Compressor Station Equipment	25	25	20	n/a	25-50
369.00, Measuring and Regulating Equipment	45	45	45	54	30-50
376.08, Mains - Steel	80	75	80	82	55-80
376.18, Main - Plastic	75	75	80	82	55-80
378.00, Measuring and Regulating Equipment	40	40	50	55	35-55
382.02, Meter Installations	43	40	45	40	30-55
383.00, House Regulators	40	40	45	40	25-60
384.00, House Regulator Installations	52	40	45	40	35-50

The table below provides a comparison of the various proposals of each party for KEDNY's gas assets.

Table 2 – KEDNY's Service Life Estimates by Parties

Account	Current	Proposed	Staff	NYC	Typical Industry Range
Gas Plant					
367.06, Mains - Plastic	80	75	75	85	55-80
367.08, Mains – Steel – Pre 1992	80	75	75	85	55-80
367.09, Mains – Steel – Post 1991	80	75	75	85	55-80
369.00, Measuring and Regulating Equipment	50	50	50	58	30-50
375.00, Structures and Improvements	60	60	60	75	40-65
376.01, Mains – Steel – Post 1991	80	75	75	84	55-80
376.09, Mains – Steel – Pre 1992	75	75	75	84	55-80
376.05, Mains – Cast Iron – Pre 1992	50	30	50	30	n/a
376.07, Mains – Plastic – Pre 1992	75	75	75	84	55-80
376.18, Mains – Plastic – Post 1991	75	75	75	84	55-80
378.00, Measuring and Regulating Equipment	50	50	50	58	25-55

Q. Are depreciation estimates based on purely analytical or mathematical computations?

A. No. Even in depreciation studies where there are not considerations similar to the CLCPA, depreciation is a forecast of the future that requires judgment and cannot be based on a purely quantitative basis. For example, NARUC makes clear that there must be a subjective component to estimating service lives. Chapter XIII of Public Utility Depreciation Practices, entitled "Actuarial Life Analysis," discusses and emphasizes the subjective nature of the process of estimating service lives. NARUC starts this chapter by explaining that the analysis of historical data is only one part of the process of estimating service lives:

> Actuarial analysis objectively measures how the company has retired its investment. The analyst must then judge whether this historical view depicts the future life of the property in service. The analyst takes into consideration various factors, such as changes in technology, services provided, or capital budgets.

Thus, NARUC clarifies that the process of estimating service lives is more than merely a simple mathematical measurement of the past. In describing the determination of a survivor curve estimate (referred to as the "projection life" in this passage), NARUC states:

> <u>The projection life is a projection, or forecast, of the future of the property.</u> Historical indications may be useful in estimating a projection life curve. Certainly the observations based on the property's history are a starting point. Trends in life or retirement dispersion can often be expected to continue. Likewise, unless there is some reason to expect otherwise, stability in life or retirement dispersion can be expected to continue, at least in the near term.

> Depreciation analysts should avoid becoming ensnared in the mechanics of the historical life study and relying solely on mathematical solutions. The reason for making an historical life analysis is to develop a sufficient understanding of history in order to evaluate whether it is a reasonable predictor of the future. The importance of being aware of circumstances having direct bearing on the reason for making an historical life analysis cannot be understated. These circumstances, when factored into the analysis, determine the application and limitations of an historical life analysis.

NARUC advises against focusing only on the statistical analysis of historical data, stating that "relying solely on mathematical solutions" should be avoided. Further, we can be quite certain that the future will be different from the past and, therefore, we should expect that service life estimates should differ from the Companies' historical experience.

Q. Do you agree with the proposed changes to service life estimates made by Staff and NYC?

A. No.

Q. Please address the two accounts for which both Staff and NYC have proposed changes for KEDLI.

A. Staff Witness Darmetko and NYC Witness Garrett have both proposed changes for Accounts 376.08 and 376.18, which includes steel and plastic mains. I disagree with their proposals and believe their estimates would not recover the costs for these assets in a timely fashion. I first note that the currently approved lives for both accounts are relatively long when compared to others in the industry. While there are reasons why

assets in National Grid's system in these accounts are different from other utilities, it is unreasonable to expect steel and plastic mains will last as long as recommended by Staff and NYC, particularly because there are reasons to expect shorter lives than was the case in the past. The CLCPA is likely to result in electrification of heating and transportation, which in turn will decrease the use of mains.

The average service life estimates I have recommended for these accounts are 75 years for steel mains and 75 years for plastic mains. These incorporate an expectation that these assets will last a long time. Keep in mind that these are average service lives – the survivor expectations inherent to these estimates anticipate many assets being in service much longer. Indeed, my estimates incorporate an expectation that a subset of assets in these accounts will last more than 100 years.

Given all of these considerations, the even longer lives proposed by Staff and NYC are less reasonable than my estimates. They anticipate, for example, that 25 to 30 percent of steel and plastic mains will remain in service for more than 100 years. Mr. Garrett, moreover, proposes service lives for steel and plastic mains that, to my knowledge, exceed those in use by other New York utilities and are longer than typical estimates used for utilities in other jurisdictions as well. In my judgment, these expectations inherent to Staff's and NYC's proposals are not reasonable, particularly in light of the increased importance of reliability and the need of obsolescence to achieve the goals of the CLCPA.

Q. Please address the estimates proposed by NYC for other gas accounts.

A. For the nine other gas accounts at issue, for which NYC's proposals differ from mine, Mr. Garrett's estimates do not fully incorporate judgments regarding realistic expectations for the assets studied. Some of this relates to the CLCPA, as discussed above, but there are also other considerations I do not believe have been fully incorporated by Mr. Garrett.

As an example, consider the LPP accounts. There is a known plan to replace these assets by a certain date and the Companies' and Staff's proposals incorporate this reality. In contrast, Mr. Garrett proposes to ignore the Companies' LPP Program and assume these assets will not be proactively replaced.

Q. Are there similar issues for KEDNY accounts?

A. Yes. Similar to KEDLI, the estimates recommended by Staff and NYC represent too long of service lives and, again, in the case of Mr. Garrett, exceed service lives used by any other gas utility in New York. We should not expect average lives of close to 85 years or maximum lives that are far longer, as NYC proposes and this is certainly true in the constrained environment of the CLCPA. This is compounded by Mr. Garrett's failure to account for the Companies' LPP plans. Increases to measuring and regulating equipment accounts are also unreasonable, as many of these assets will be replaced or retired as the Companies eliminate low pressure systems.

IV. NET SALVAGE ESTIMATES

Q. What have the various parties proposed regarding net salvage?

A. Table 3 and Table 4 below compare the net salvage estimates currently in effect, those proposed in the depreciation studies, those proposed by Staff, and those proposed by NYC. This table also shows the overall and most recent five-year average net salvage ratios based on the statistical analysis of the Companies' historical data using the industry standard method for analyzing net salvage that was used in the Companies' depreciation study. As can be seen in this table, the historical data indicates net salvage estimates that are, for most accounts, more negative than any party's estimate. Thus, the data supports estimates at least as negative as proposed in the Companies' depreciation studies.

Table 3 – Comparison of Net Salvage Estimates to Historical Net Salvage Data - KEDLI

	Current Net Salv %	Company Proposed Net Salv %	Staff Proposed Net Salv %	NYC Proposed Net Salv %	Historical Avg. Net Salv %	5-Year Avg. Net Salv %
Gas						
Holtsville						
361.03	(7)	(10)	n/a	(9)	(23)	0
362.07	0	(20)	n/a	(15)	(82)	(202)
363.00	0	(10)	n/a	(8)	n/a	n/a
363.01	0	(20)	n/a	(15)	(35)	(68)
363.02	(7)	(10)	n/a	(9)	(10)	0
363.03	0	(10)	n/a	(8)	(8)	n/a
363.04	0	(5)	n/a	(4)	n/a	n/a
363.05	(1)	(10)	n/a	(8)	(16)	n/a

CNG Injection						
363.04	0	(5)	n/a	(4)	n/a	n/a
363.05	(1)	(5)	n/a	(4)	(16)	n/a
Miscellaneous						
361.03	(7)	(5)	(10)	n/a	(23)	0
362.05	(275)	(5)	(5)	n/a	(82)	(202)
363.05	(1)	(5)	n/a	(4)	(16)	n/a
366.00	0	(20)	n/a	(15)	(68)	(108)
367.04	0	(70)	(50)	(53)	(394)	(131)
367.09	0	(70)	(50)	(53)	(394)	(131)
368.00	0	(5)	n/a	(4)	n/a	n/a
369.00	0	(20)	n/a	(15)	(36)	(81)
374.03	0	(20)	n/a	(15)	n/a	n/a
375.00	0	(20)	n/a	(15)	(171)	(497)
376.08	(1)	(70)	(50)	(53)	(155)	(150)
376.10	(14)	(70)	(50)	(56)	(155)	(150)
376.18	0	(70)	(50)	(53)	(155)	(150)
377.00	0	(5)	(10)	(4)	(42)	(37)
378.00	0	(20)	(10)	(15)	(19)	(33)
380.01	0	(50)	n/a	(38)	(71)	(49)
380.06	0	(50)	n/a	(38)	(71)	(49)
382.02	(1)	(5)	n/a	(4)	(101)	(59)
390.00	(2)	(10)	n/a	(8)	(10)	(569)
Leak Prone Pipe						
380.03	(31)	(50)	n/a	(45)	(71)	(49)
380.06	(38)	(50)	n/a	(47)	(71)	(49)

Table 4 – Comparison of Net Salvage Estimates to Historical Net Salvage Data - KEDNY

	Current Net Salv %	Company Proposed Net Salv %	Staff Proposed Net Salv %	NYC Proposed Net Salv %	Historical Avg. Net Salv %	5-Year Avg. Net Salv %
Gas						
Greenpoint						
362.04	(14)	(20)	n/a	(17)	(1)	(1)
363.00	(14)	(20)	n/a	(17)	0	n/a
363.02	(14)	(20)	n/a	(17)	(53)	(8)
Newtown Creek						
363.10	(3)	(5)	n/a	(4)	n/a	n/a
366.00	0	(20)	n/a	(10)	n/a	n/a
367.05	(38)	(75)	(52)	(57)	(436)	n/a
367.06	(100)	(75)	(52)	n/a	(436)	n/a
367.08	(60)	(75)	(52)	(38)	(436)	n/a
367.09	0	(75)	(52)	(68)	(436)	n/a
369.00	0	(20)	n/a	(10)	(278)	(393)
375.00	(5)	(20)	n/a	(13)	(88)	(468)
376.01	(30)	(75)	(52)	(53)	(245)	(511)
376.09	(65)	(75)	(52)	(70)	(245)	(511)
376.05	(38)	(75)	(52)	(57)	(245)	(511)
376.07	(135)	(75)	(52)	n/a	(245)	(511)
376.18	(5)	(75)	(52)	(40)	(245)	(511)
378.00	(8)	(20)	n/a	(14)	(152)	(157)
380.01	0	(50)	n/a	(25)	(85)	(142)
380.02	(5)	(50)	n/a	(28)	(85)	(142)
380.06	(35)	(50)	n/a	(43)	(85)	(142)
380.07	0	(50)	n/a	(25)	(85)	(142)
381.00	(1)	(5)	n/a	(3)	(1)	(8)
381.04	0	(5)	n/a	(3)	(1)	n/a
382.02	(6)	(10)	n/a	(8)	(10)	(11)
390.00	2	(5)	n/a	(2)	(4)	(139)

Leak Prone Pipe						
376.08	(60)	(135)	n/a	(98)	(436)	n/a
367.05	(65)	(155)	n/a	(97)	(436)	n/a
376.09	(38)	(155)	n/a	(110)	(436)	n/a
380.02	(5)	(125)	n/a	(65)	(85)	(142)
380.03	(4)	(125)	n/a	(65)	(85)	(142)
380.05	(4)	(125)	n/a	(65)	(85)	(142)

Q. Are your estimates consistent with accepted methods for estimating net salvage?

A. Yes. The industry standard method for estimating net salvage, which is accepted by most regulatory commissions (including the Commission) and supported by depreciation textbooks, is to estimate net salvage based on informed judgment that incorporates statistical analysis of historical net salvage data in which historical net salvage (cost of removal less gross salvage) is expressed as a percentage or ratio of historical retirements. This method, which I will refer to as the "traditional method," is the method used in the Companies depreciation study.

Q. Have Staff and NYC followed the same approach as you related to proposing net salvage estimates?

A. In part, yes. Staff Witness Darmetko and NYC Witness Garrett have, for the most part employed a similar approach. Staff states (at 18-20) that their "review of the net salvage statistics employed a method very similar to that used by the Company in determining its net salvage factors." Based on my review of Staff's testimony and workpapers, I agree that for the most part Staff used a similar approach, although Staff appears more reluctant

to move net salvage estimates closer to the overall indications in the historical data. Mr. Garrett also deviates further from the statistical indications from the data, as he states (at 31): "I recommend the Commission limit KEDNY's proposed negative net salvage rate increases by 50% of the requested annual increase from current parameters. In addition, I recommend the Commission limit KEDLI's proposed negative net salvage rate increases by 75% of the requested annual increase from current parameters." Based on my review of Mr. Garrett's testimony and workpapers, as well as the fact that he has taken the opposite approach for service lives, it appears that Mr. Garrett's reluctance to move net salvage estimates closer to the overall indications in the historical data is due primarily to limiting the revenue requirement and not based on realistic considerations of net salvage.

Q. What are the reasons for the differences in Staff's net salvage estimates?

A. Based on Staff's testimony, Staff's recommendations appear to be based on gradualism as well as different interpretations of the trends in the data. Because, however, my estimates already incorporate gradualism, Staff's proposals result in a gradual gradualism that provides for too little recovery of net salvage.

Q. What are the reasons for the differences in NYC's net salvage estimates?

A. Based on the testimony of Mr. Garrett, his recommendations are based on gradualism and limiting changes to the current net salvage estimates. More precisely, he limits changes to an arbitrary percentage of the increase in negative net salvage I have recommended. There are at least two issues with his approach. The first is that my recommendations are

already gradual, meaning that his proposals limit changes below what is appropriate. Further, he is inconsistent in his approach in that he limits changes to 50 percent of my recommended increase for one company but 75 percent for the other. In contrast, my proposals are already gradual and, more appropriately, consider the specifics of each company (such as operating environment, work requirements, etc.) to develop the most reasonable estimates.

Q. Do you agree with Staff's or NYC's net salvage proposals?

A. No. As can be seen in Table 3 and Table 4 above, for each of the accounts for which I differ from Mr. Garrett, the overall average net salvage in the data is more negative than the Companies' proposals, as well as those of Staff and Mr. Garrett. Therefore, my net salvage proposals are already constrained by gradualism. Indeed, for some accounts, the calculated overall average net salvage is much more negative than either my proposals or any of the other proposals. The Companies' proposals to phase in the recommended depreciation rates provides further gradualism. The historical data amply supports my recommended net salvage estimates and further reductions based on a concept of additional gradualism, as proposed by Staff and NYC, will fail to adequately recover the Companies' net salvage costs. The need to do so is more urgent given the context of the CLCPA and, like their service life proposals, Staff's and NYC's recommended depreciation rates will be insufficient to recover costs, pushing these costs on future customers.

Q. Have Staff or NYC made any recommended changes to the recovery of theoretical reserve imbalances (or the reserve deficiencies)?

A. Conceptually, no. Each party proposes the same general treatment of amortizing the portion above 10 percent of the reserve over 20 years. The differences in reserve amortizations, therefore, are merely a function of the recommended service lives and net salvage. I think, therefore, that each party would agree that whatever the ultimate service lives and net salvage adopted by the Commission, the same approach should be used for the resultant reserve imbalances.

Q. Does this conclude your testimony?

A. Yes.